

Chap. VII, New York, 1924. A case history of defaults on equipment obligations and their treatment in railroad reorganizations since 1900 will be found at pp. 229–239 of this excellent treatise. To quote briefly from Duncan, writing in 1924 (pp. 199–200), “In only three instances has it been necessary for the holders of equipment securities to accept a compromise in the form of receiving other securities instead of cash, in only two instances did they have to retake the equipment and sell it, and in no case did payment finally fail to be made, either in cash or in other securities which could later have been sold for as much as the principal of the equipment obligations on which default has occurred.” See also A.S. Dewing, *A Study of Corporation Securities*, Chap. IX, New York, 1934.

A briefer but more recent synopsis of the treatment of equipment obligations in railroad receiverships is reproduced below from a study by Freeman & Co., specialists in equipment obligations, which was published on Jan. 9, 1940.

### **RECORD OF EQUIPMENT TRUST ISSUES IN RAILROAD RECEIVERSHIPS FROM 1886 TO DATE**

- 1886—*Denver Rio Grande R.R.* Notes exchanged with bondholders consent for mortgage bonds and preferred stock which later were worth forty per cent more than Equipment Trust.
- 1888—*Chesapeake & Ohio*. Equipments undisturbed—interest rates on other securities reduced.
- 1892—*Central Railroad & Banking Co. of Georgia*. Undisturbed—paid in full.
- 1892—*Savannah, Americus & Montgomery*. Undisturbed—paid in full.
- 1892—*Toledo St. Louis & Kansas City R.R.* Undisturbed—paid in full.
- 1895—*Atchison Topeka & Santa Fe*. Receiver reserved \$1,200 mortgage bond to retire each \$1,000 Equipment at maturity.
- 1895—*New York, Lake Erie & Western*. Receiver certificates issued to pay Equipments.
- 1895—*Union Pacific*. Undisturbed—mortgage bonds reserved to pay Equipments at maturity.
- 1896—*Philadelphia & Reading*. Equipments paid—partly by assessment.
- 1896—*Northern Pacific*. Undisturbed—paid regularly.
- 1899—*Columbus Hocking Valley & Toledo Ry.* Interest paid promptly and 10 per cent of principal retired regularly in accordance with new agreement.
- 1900—*Kansas City, Pittsburgh & Gulf*. New first mortgage bonds issued to pay Equipments.
- 1905—*Cincinnati, Hamilton & Dayton*. Undisturbed.
- 1905—*Pere Marquette*. Undisturbed—sold additional Equipment Trusts during receivership to yield 6%.
- 1908—*Seaboard Air Line*. Receivers certificates sold to pay off maturing Equipments.